

My friends are an exception few that have sorted out their heads around the financial mess young people get entangled in. What they did well, is they paid-themselves-first or their futures first and then moved over to spending. Maybe they differed in amounts and instruments they used for investments, but they did have a head-start. While that may not be much, it still is a desirable position for many of us youngsters.

Here's what they're doing good:

- *They're clear on the things they like.*
- *They know what their big goals (money-wise) in life are and fund them.*
- *Spending comes only after investments and savings.*

A simplified equation to replicate their rich life is

**Salary = Investments to savings to expenditure**

**The explanation:** When the salary hits your account, fund the future investments first. Then, take care of saving for short term expenses such as vacations and down-payment for a home. Finally, only after you've taken care of the future, expend whatever you have, irrationally.

The reason that I write 'irrational spend' is because it can be as varied as possible. January might be for paying gym subscriptions after New Year resolutions, while February might be for cancelling gym accounts and buying a new cycle. Each month is different to another and that's why we allocate resources for irrational spending.

While Week 5 will detail into complicated topics such as '*CAGR to expect for various instruments*' , they're more of theoretical learnings. They are easier, compared to what we're looking to do this week as this involves human psychology with money. If you've mastered this simple aspect, you're on the path to money stardom.

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| Initial 20% of effort and time taken | <ul style="list-style-type: none"><li>- Fund your retirement and big expenses in future</li><li>- Save toward short term goals (down payment) and repetitive expenses (Diwali and other festivals)</li></ul> |
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